

FEDERAL MARITIME COMMISSION

**NIELSEN & BAINBRIDGE, LLC,
Complainant**

v.

DOCKET NO. 25-02

**OCEAN NETWORK EXPRESS PTE. LTD.;
ORIENT OVERSEAS CONTAINER LINE
LIMITED; OOCL (EUROPE) LIMITED;
EVERGREEN LINE JOINT SERVICE
AGREEMENT (FMC AGREEMENT NO.
011982); EVERGREEN MARINE
CORPORATION (TAIWAN) LTD.;
EVERGREEN MARINE (UK) LIMITED,
ITALIA MARITTIMA SPA; EVERGREEN
MARINE (HONG KONG) LTD.;
EVERGREEN MARINE (SINGAPORE)
PTE. LTD.; AND YANG MING MARINE
TRANSPORT CORPORATION,
Respondents**

**RESPONDENT OCEAN NETWORK EXPRESS PTE. LTD.'S
MOTION TO SEVER and
MOTION FOR A MORE DEFINITE STATEMENT**

Respondent Ocean Network Express Pte. Ltd. (“ONE” or “Respondent”), by counsel, hereby moves to sever the claims against ONE as set forth in Complainant Nielsen & Bainbridge, LLC’s (“NBG” or “Complainant”) Complaint (“Complaint”), pursuant to Federal Maritime Commission (“Commission”) Rules 12, 69, and 70, 46 C.F.R. §§ 502.12, 502.69, 502.70, *inter alia*, and Federal Rules of Civil Procedure Rules 20 and 21. The claims against ONE should proceed separately (and also as to each individual respondent) for the reasons set forth herein.

In the alternative, ONE moves for a more definite statement of the claims asserted against it pursuant to Commission Rule 67.

I. INTRODUCTION

Complainant erroneously seeks to litigate wholly unrelated claims against unrelated carriers in one suit, contrary to the rules. Together, its claims run afoul of the threshold requirement for permissive joinder under Federal Rule of Civil Procedure 20(a) that each claim arises from the same transaction or occurrence, or series of transactions or occurrences.¹ The allegations against the other respondents are not alleged to be based on or connected to the same transaction or occurrence, or series of transactions or occurrences. Regardless of whether Complainant's claims could be deemed to meet Rule 20(a), severance under Rule 21 is necessary to avoid prejudicing the rights of ONE to a fair proceeding. Given the individualized nature of Complainant's relationship with each Respondent and the unique allegations against each named Respondent, Complainant should be required to file a separate Complaint against each Respondent setting forth its individual claims.

The Complaint alleges that at least four separate ocean common carriers, including ONE, OOCL, Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima S.p.A., Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd. (collectively "Evergreen"), and Yang Ming Marine Transport Corporation ("Yang Ming") (collectively "Respondents"), failed to meet their respective service contract commitments. There is no cause of action asserting any joint action by ONE, OOCL, Evergreen, and Yang Ming or of any joint and several liability of the Respondents.

¹ There is no Commission Rule regarding severance. Commission Rule 12 provides that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Commission Rule 74 states that: "Commission or the Chief Administrative Law Judge (or designee) may order two or more proceedings which involve substantially the same issues consolidated and heard together." Thus, it follows that the Commission may order two or more proceedings to be separated where they do not involve substantially the same issues, as is the case here.

On the face of the Complaint, the claims against the various ocean common carriers are completely unrelated. Forcing all of these unrelated respondents to litigate within the context of one action is inefficient, unwarranted, and burdensome.

II. LEGAL AUTHORITY AND ARGUMENT

Federal Rule of Civil Procedure Rule 21 provides authority to the trial court, either by motion or on its own, to “sever any claim against a party.” Although Rule 21 is titled “misjoinder and nonjoinder of parties,” severance under Rule 21 is not limited to merely curing the misjoinder of parties. *United States v. O’Neil*, 709 F.2d 361, 369 (5th Cir. 1983); *Henderson v. AT&T Corp.*, 918 F.Supp. 1059, 1065 (S.D. Tex. 1996). Severance creates separate actions and allows a severed claim to proceed as a discrete, independent action for which the court can render a final judgment notwithstanding the continued existence of the original suit. *Hayes v. Miller*, 341 Fed.Appx. 969, 970 (5th Cir.2009); *Allied Elevator, Inc. v. E. Tex. State Bank*, 965 F.2d 34, 36 (5th Cir. 1992); *O’Neil*, 709 F.2d at 368.

A. Grounds for Severance

The decision whether to grant a severance motion is committed to the sound discretion of the trial court (and, therefore, the Presiding Officer). *State of N.Y. v. Hendrickson Bros., Inc.*, 840 F.2d 1065, 1082 (2d Cir. 1988); *Wausau Bus. Ins. Co. v. Turner Constr. Co.*, 204 F.R.D. 248, 250 (S.D.N.Y. 2001); *Anderson v. Red River Waterway Commission*, 231 F.3d 211, 214 (5th Cir.2000). “Courts may order a Rule 21 severance when it will serve the ends of justice and further the prompt and efficient disposition of litigation.” *T.S.I. 27, Inc. v. Berman Enters., Inc.*, 115 F.R.D. 252, 254 (S.D.N.Y. 1987); see also *In re Methyl Tertiary Butyl Ether Prods. Liab. Litig.*, 247 F.R.D. 420, 427 (S.D.N.Y. 2007).

While the question of whether it should sever claims is within the broad discretion of the

trial court under Rule 21, a trier of fact must consider the following questions derived from Rule 20(a) regarding the proper joinder of parties:

- 1) whether the claims arise out of the same transaction or occurrence;
- 2) whether the claims present some common questions of law or fact;
- 3) whether settlement of the claims or judicial economy would be facilitated;
- 4) whether prejudice would be avoided if severance were granted; and
- 5) whether different witnesses and documentary proof are required for the separate claims.

Erausquin v. Notz, Stucki Mgmt. (Berm.), 806 F. Supp. 2d 712 (S.D.N.Y. 2011); *Disparte v. Corp. Exec. Bd.*, 223 F.R.D. 7 (D.D.C. 2004); *Morris v. Northrop Grumman Corp.*, 37 F. Supp. 2d 556, 580 (E.D.N.Y. 1999). As discussed below, each of the five inquiries leads to the conclusion that the claims should be severed.

There does not appear to be any direct Commission precedent regarding severance of claims. Historically, claims before the Commission against multiple ocean carriers have been filed separately with respect to each separate respondent.² In Docket 22-14, filed by a single complainant against two separate ocean carriers, the respondents raised the problems associated with litigating two separate cases of alleged failure to meet service contract obligations in a single

² For example, in recent years counsel for Complainant has represented complainants that have commenced separate actions against separate ocean carrier respondents in a number of instances. See, e.g., *20230930-DK-Butterfly-1, Inc. v. BAL Container Line Co., Limited*, Docket 25-01 (2025), *20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Service Agreement (FMC #011982) consisting of Evergreen Marine Corp. (Taiwan) Ltd.; Evergreen Marine (UK) Limited; Italia Marittima SpA; Evergreen Marine (Hong Kong) Ltd.; and Evergreen Marine (Singapore) Pte. Ltd.*, Docket 24-12 (2024), *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA*, Docket 23-12 (2023), and *20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 23-02 (2023). As do Complainants represented by other firms. See *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Docket 24-10 (2024), *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket 24-09 (2024), and *TZ SSE Buyer, LLC v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 24-08 (2024).

proceeding, which complainant resolved by filing two separate complaints (Dockets 22-20 and 22-21). Cases requiring individual identification of parties are illustrative. As explained in *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations Of 46 U.S.C. § 41102(c)*, Docket No. 21-17 (Order dated March 28, 2022), each respondent in a case involving multiple respondents is entitled to know precisely what is being alleged against it. There, the Presiding Officer summarized:

“ ‘Due process requires that persons charged with unlawful conduct be given prior notice of the charges and an opportunity to be heard in defense before the government can take enforcement action.’ *Soule Glass & Glazing Co. v. NLRB*, 652 F.2d 1055, 1073 (1st Cir. 1981). Pursuant to the Administrative Procedures Act, in an administrative adjudication, the respondent is entitled to notice of “the matters of fact and law asserted.” 5 USC § 554(b). The decision in *Holt Cargo* was predicated on the respondents’ due process rights, and supports the arguments made in the motion. Each entity named as a respondent in a proceeding has the right to understand what allegations are being made against it.”

The Presiding Officer’s Order in Docket No. 21-17 followed a similar order issued in *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 22 SRR 1582 (2000), where the Presiding Officer required that the (three) individual complainants be compelled to identify which specific allegations were associated with each individual complainant.

ONE respectfully requests the Commission require individual treatment in this and future pleadings in line with case law under Federal Rules of Civil Procedure 20 and 21.

B. Application of Case Law to the Complaint

Severance is warranted by application of the five factors discussed above:

1) *Do the claims arise out of the same transaction or occurrence?*

They absolutely do not. Complainant has not alleged any specific transaction or occurrence common among all Respondents. Rather, the alleged claims span several years, and involve many ports on the West coast, East coast, and the Gulf of Mexico, including the Ports of Los Angeles, Long Beach, Oakland, New York and New Jersey, Savannah, Houston, Seattle and Tacoma.

Respondent carriers would have carried Complainant's goods on different vessels at different times, to and from different ports.

The only allegations that come close to the "same transaction, occurrence, or series of transactions or occurrences" is that Complainant alleges, without specificity, that two separate alliances, one of which includes Respondent ONE and the other which includes other Respondents, "engaged in concerted, coordinate, and/or parallel activity to restrict capacity in order to avoid taking volume from one another and to keep prices high." (Complaint at ¶¶ 12, 50). However, throughout the Complaint section entitled "Concerted, Coordinated, and/or Parallel Activity of Respondents" (Complaint at ¶¶ 50-60), Complainant does not make any specific or particular claims, but rather makes note of the existence of alliances as if that means the Respondents are acting in unlawful concert. Even if participation in the alliances in question constituted the "same transaction or occurrence" (which ONE denies), Complainant has identified two different alliances, meaning all four Respondents are not even alleged to have acted together.³ Complainant impermissibly seeks to litigate all claims it believes it has against many unrelated respondents and based on unrelated facts pertaining to numerous shipments. As alleged, the claims fall far short of identifying the transaction or series of transactions necessary for permissive joinder under Rule 20(a).

2) *Do the claims present some common questions of law or fact?*

Unsurprisingly, there will be some common questions of law regarding some of the claims. But this would be true for any case before the Commission and is of no consequence in this matter. For example – why is the "exclusive remedy" as described in 46 U.S.C. § 40502(f) not applicable

³ Throughout this section of the Complaint, Complainant also references at least thirteen unrelated carriers that are not named as Respondents in this action and the discussion of which is wholly irrelevant to any alleged claims Complainant may have. (See Complaint at ¶¶ 50-60).

here to allegations that are, at their core, alleged breach(es) of contract(s)? It is true that all of the claims will have to be judged against the same series of federal regulations. However, there are different regulations at issue, and the facts against which those various regulations will have to be interpreted will be different with respect to each Respondent. Complainant seeks to litigate years of unrelated conduct by and with unrelated parties within a global shipping market without providing any evidence of a common question of fact or law to bind them in the same proceeding. There is nothing to be gained by combining all of those different factual and legal debates. The obvious result will be an additional burden for the several Respondents under Complainant's litigation strategy.

3) *Will settlement of the claims or judicial economy be facilitated?*

Severance of these claims would clearly aid the Commission and promote judicial economy while relieving Respondent from burdensome and irrelevant litigation involving unrelated matters and carriers. Resolution of the claims will be far more manageable for pleadings, discovery, and trial by separating the omnibus action into individual claims as provided by the rules. Severance of the claims also will avoid unnecessary confusion with respect to the various allegations. Among other things, each individual Respondent should be entitled to manage the various cases and claims asserted against it rather than having to contend with unrelated issues and factual matters involving unrelated parties. If any legitimate claims are asserted in the severed actions, the respective Respondent would be capable of assessing claims against it and seek to resolve them. Moreover, the management of the multiple cases will be far simpler than the multi-party litigation that is currently pending. Simply put, the judicial economy, the judicial system, and the parties will all benefit from having the actions severed.

4) *Will prejudice be avoided if severance were granted?*

Yes. Respondents are prejudiced in time and cost by having to review, investigate, and respond to claims that are wholly unrelated to whatever claims Complainant contends it has against each. By requiring Complainant to proceed separately against each carrier, the problem is completely cured.

Conjoining what should proceed as at least four separate cases raises many procedural and logistical issues. In answering the Complaint, for example, ONE will need to answer almost every allegation multiple times – one as to ONE and then an insufficient information answer as to the other carriers. There are at least 96 paragraphs out of 218 that are wholly unrelated to ONE.

There may also be differences between the schedule appropriate for one Respondent versus the others. Additional issues of this sort will likely arise if the case proceeds as filed – *e.g.*, what happens if counsel for one Respondent needs an extension, but counsel for the other Respondents do not. Severance is also warranted because Respondents are direct competitors in the same industry. Discovery in this matter will likely involve confidential and sensitive business information. While protective orders might be implemented to restrict Respondents from viewing such materials, this would also impair counsel's ability to effectively evaluate the discovery.

Those issues may be raised and addressed, if necessary, as they arise, but ONE is of the view that such issues could be avoided at this early stage by severing the cases and requiring Complainant to proceed individually against each Respondent as is standard practice.

Severance will additionally avoid the substantial prejudice of having multiple parties in attendance at each deposition to hear testimony of one party's witness(es) wholly unrelated to the claims pertaining to the other Respondents. The time and expenses incurred will be enormous if this case is not severed.

5) *Are different witnesses and documentary proof required for the separate claims?*

Yes. Because all the claims are different and each will involve different Respondents.

But for vague and conclusory references to alliances in which some of the Respondents participate (and which also include a number of entities that are not respondents in this action), there would not be any evidence overlapping from one claim to another. All of the witnesses, and all of the documentary evidence would be completely different and separate for each of Complainant's claims. Factually, there is no connection between the charges by one carrier and any other.

In sum, the factors employed to evaluate motions to sever all weigh in favor of severing these actions into distinct and separate dockets.

MOTION FOR A MORE DEFINITE STATEMENT

In the event that the Commission determines that Complainant's claims against ONE should not be severed, ONE alternatively requests, pursuant to Commission Rule 67, a more definite statement setting forth Complainant's allegations against ONE. Commission Rule 67 provides, in relevant part:

If a pleading . . . to which a responsive pleading is permitted is so vague or ambiguous that a party cannot reasonably prepare a response, the party may move for a more definite statement before filing a responsive pleading.

Even without a motion from a party, it is within the Presiding Officer's discretion to direct a more definite statement. Commission Rule 66 states, in the relevant part, that "[t]he presiding officer may direct a party to state its case more fully and in more detail by way of amendment" without any condition precedent requiring a motion. *See* 46 C.F.R. § 502.66(a). In *Giti Tire (USA) Ltd. v. Flexport International LLC*, ALJ Crovella cited Commission Rule 66 in ordering the complainant to file an amended complaint, noting that "clarification will enable the parties to proceed more efficiently with discovery". Docket 24-22 (August 27, 2024). In *Giti Tire*, ALJ

Crovella specifically noted that the allegations were “unclear” specifically mentioning “the lack of shipment identifiers” to comprehend and respond to the allegations. *Id.* at *3. Moreover, the ALJ found that the underlying claims “could be better identified in the Complaint, at a minimum by pleading more specific dates that alleged violations occurred.” *Id.* So too would a more definite statement benefit the parties in this case. Like the complaint in *Giti Tire*, the Complaint in this case fails to state how ONE violated the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* with respect to any specific shipments. The Complaint fails to identify the requisite information that must be included to comprehend the allegations and which are customarily included in a complaint alleging violations of the Shipping Act. For example, the complaint in *M.E. Dey & Co., Inc. v. Hapag-Lloyd (America) LLC*, Docket 22-35 (2022) describes shipments by container number and bill of lading numbers and includes specific facts about those shipments. *See also Marine Transport Logistics, Inc. v. CMA-CGM (America), LLC*, Docket 22-23(2022)(identifying specific containers by number and providing shipment details in the Complaint); *OJ Commerce, LLC v. Hamburd Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG*, Docket 21-11 (2021)(identifying container numbers and bill of lading numbers for each shipment, and providing shipment details in the Complaint); *TPG, Inc. v. Omni Logistics, LLC*, Docket 22-31 (2022) (identifying specific invoice numbers in the Complaint). In comparison, the Complaint does not identify any invoice numbers or container numbers or provide any specific details to indicate which shipments their allegations are based on or were allegedly subject to improper detention or demurrage charges.

Instead, the Complaint identifies “Complainant’s Injuries” at paragraphs 189-194 lumping together ONE, OOCL, and Evergreen, despite those entities being wholly unrelated. It alleges that Respondents (generally, with no specific attribution) “produc[ed] delays in freight transportation,

appropriate[d] scarce resources for ocean freight expenses, caus[ed] uncertainty and scarcity within the business, and disrupt[ed] Complainant's ability to operate" without providing any examples or evidence of such behavior. ONE cannot possibly respond to these allegations in any meaningful way. In its "Causes of Action" section at paragraphs 195-203, Complainant alleges one or two paragraphs for each cause of action, again lumping together all Respondents and generally alleging a "systematic fail[ure] to meet their respective service commitments." Complainant fails to specifically identify any particular basis as to how each Respondent has violated each identified section of the Shipping Act. Further, for the reasons set forth above regarding its Motion to Sever, ONE has no knowledge of or overlap with the other named Respondents in this action and cannot respond to the allegations directed at those entities.

Complainant also seeks damages against several Respondents for alleged demurrage, detention and delay costs. However, the Complaint consists only of conclusory allegations for unspecified damages on behalf of all Respondents generally without specific supporting facts. The Complaint also fails to allege a specific sum of damages that the Complainant is alleged to have incurred as a result of ONE's alleged actions, as is required under the Commission's Rules.⁴

In the event the Presiding Officer does not sever Complainant's claims as against ONE, Complainant should be ordered to provide a more particular statement with respect to its claims against ONE.

⁴ Such a specification of damages is required by the Commission's Rules – 46 C.F.R. 502.62(a)4 ("Where reparation is sought, the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages"); *Samsung Electronics America, Inc. v. OOCL*, Docket No. 24-17 (Order Partially Granting Motion to Dismiss). ALJ November 18, 2024 ("SEA will therefore be ordered to amend its complaint to specify the amount of damages in compliance with Rule 62. See 46 C.F.R. § 502.66(a)").

CONCLUSION

For the reasons set forth above, Respondent Ocean Network Express Pte. Ltd. respectfully requests the Presiding Officer sever Complainant's claims as against ONE into a distinct action, so as to allow it to proceed separately. In the alternative, ONE respectfully requests the Presiding Officer order Complainant to more precisely establish the claims brought against ONE.

Dated: February 3, 2025

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CERTIFICATE OF SERVICE

I hereby certify in accordance with 46 CFR Part 502 that a true and correct copy of the foregoing was served by email on all counsel of record on this date, February 3, 2025.

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